

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Warren Buffett stunned** the investing world by revealing his plans to step down as Berkshire Hathaway's chief executive at year-end and hand the reins to his handpicked successor, Greg Abel. **A1, A2**
- ◆ **The "Oracle of Omaha"** said that it was his initial bet on Apple, augmented by further purchases over the years, that proved to be his biggest success. **B1**
- ◆ **Buffett himself reminded** the public that Berkshire Hathaway had some outright misses in its choice of stocks. **B1**
- ◆ **The U.S. stock market** is discounting the likelihood of a recession in the near term, despite pessimistic forecasts of a downturn by some of the biggest Wall Street firms. **A1**
- ◆ **Trump authorized** a 100% tariff on films produced overseas in response to tax incentives that have lured Hollywood filmmakers to shoot outside the U.S. **A4**
- ◆ **Some small and midsize** U.S. manufacturers are seeing an uptick in orders from companies looking to avoid paying new tariffs, stoking hope for a longer-term boost to their businesses. **A1**
- ◆ **Temu said it stopped** shipping products to U.S. consumers directly from China, marking a dramatic shift in the bargain site's business model. **B3**
- ◆ **Atlas raised \$6.45 billion** to back underperforming companies, a strategy the firm's co-founders say will benefit from any market uncertainty. **B10**

World-Wide

- ◆ **Yemen's Houthi rebels** launched a ballistic missile that struck near Israel's main airport, marking a rare hit of a significant target by the group, hours ahead of a vote by Israel's cabinet seeking to expand military ground operations in Gaza. **A1**
- ◆ **Trump said he was** uncertain whether he was duty bound to uphold the Constitution, saying in a television interview that it was a question better put to his lawyers. **A4**
- ◆ **The president said he** expected to leave the White House at the end of his second term without trying to run again, which would be prohibited by the Constitution. **A4**
- ◆ **Trump administration** officials are exploring ways to challenge the tax-exempt status of nonprofits in a move that some IRS staffers fear could damage the agency's apolitical approach. **A3**
- ◆ **Australian Prime Minister** Anthony Albanese was returned to power, the latest left-leaning leader to achieve a comeback victory as Trump roils global markets and upends international affairs. **A9**
- ◆ **A majority of voters** in the company town that builds SpaceX's rockets cast ballots to approve its incorporation as a municipality in Texas. **A3**
- ◆ **British counterterrorism** officers arrested several Iranian men in connection with an alleged plot to attack an unspecified target, the Metropolitan Police said. **A10**

JOURNAL REPORT

Investing Monthly: Should you follow activist-investor campaigns? **B5-6**

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Buffett Puts Berkshire in Abel's Hands

Longtime CEO touts successor at annual meeting after saying he plans to step down

By KAREN LANGLEY

OMAHA, Neb.—It was time. Warren Buffett stunned the investing world by revealing his plans to step down as Berkshire Hathaway's chief executive at year-end and hand the reins to handpicked successor, Greg Abel.

The 94-year-old investor closed the annual meeting of the company he built into one of the nation's largest with the surprise announcement on Saturday that he will recommend to Berkshire's board that Abel begin the CEO job in 2026.

"The time has arrived," he said, "where Greg should become the chief executive officer of the company at year-end." And with that, one of the greatest and longest-running shows in American capitalism entered its final months.

Enduring Legacy

- ◆ **Jason Zweig: Makings of an unrivaled investor... A2**
- ◆ **What CEO learned from big hits, misses... B1**
- ◆ **Greatest success was a bet on Apple... B1**

Buffett transformed Berkshire, once an ailing textile company, into a massive conglomerate and a cultural phenomenon. For decades, thousands of fans and investors have traveled to Omaha each year to attend what Buffett called Berkshire's "Woodstock for Capitalists." Millions more have watched from home, read his annual letters to shareholders and studied his wit

and wisdom that often transcended investment advice.

On Saturday, Buffett delivered a staunch defense of global trade, arguing that the U.S. benefits when the world prospers. "We should be looking to trade with the rest of the world, and we should do what we do best and they should do what they do best," he said. Berkshire also announced first-quarter results. The company

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An Israeli police officer made his way over a crater left by the missile that struck a parking lot near Ben Gurion Airport Sunday.

Houthi Hit Israel Near Main Airport

By CARRIE KELLER-LYNN AND DOV LIEBER

TEL AVIV—Yemen's Houthi rebels launched a ballistic missile that struck near Israel's main airport on Sunday, marking a rare hit of a significant target by the group, hours ahead of a vote by Israel's cabinet seeking to expand ground operations in Gaza.

The projectile landed in a parking lot close to Terminal 3, Ben Gurion Airport's main terminal, a spokeswoman for Israel's Airports Authority said. Earth exploded by the impact could be seen coating roads in photos released by emergency services. Surveillance video from the airport showed a plume of black smoke and dust rising from the area struck by the missile. The footage was verified by Storyful, which is owned by News Corp, the parent company

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Some Manufacturers In U.S. Get a Boost From Trump's Tariffs

By JEANNE WHALEN AND BOB TITA

Some small and midsize U.S. manufacturers are seeing an uptick in orders from companies looking to avoid paying new tariffs, stoking hope that the levies might boost their businesses over the longer term.

President Trump's tariffs have disrupted global trade and the American economy. Yet those same new rules are making these manufacturers' goods more price competitive with imports for the first time in years, they say.

"We are swamped. We are running 24 hours a day, seven days a week in both Chicago and Cleveland," said Jack

Schron, president of Jergens Inc., which makes manufacturing tools, including industrial screwdrivers, clamps and hoists.

Schron said his factories in Ohio and Illinois are "going like gangbusters," partly owing to new orders from customers looking to avoid paying import tariffs, and partly because of increased demand over the past 18 months from the defense industry.

Reports from Schron and others represent welcome news for tariff supporters.

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- ◆ **President plays down economic concern... A4**
- ◆ **Temu halts shipments to U.S. from China... B3**

Long a New York Punchline, Newark Airport Gets Even Worse

Technology issues, staffing shortages and construction pile on the hassles

By JACOB PASSY AND ALISON SIDER

NEWARK, N.J.—Families huddled on Mickey Mouse-printed suitcases. Businessmen shouted into phones with their offices trying to rebook flights. Strangers commiserated over shared indignities. Airline employees yelled for passengers to board a shuttle that would take them to another airport two rivers away.

This wasn't a nationwide air-travel meltdown or storm-induced snarl. It was just another Thursday at Newark Liberty International Airport.

Newark has long been a punchline among travelers in the tri-state area, a launchpad to be avoided at all costs. It

routinely tops rankings of large airports in flight delays and cancellations. It is hard to get to and harder to get around.

"The American people are reasonable, but if we have to spend the night sleeping on a bench in the Newark airport we will grab a flag and join the revolution like an extra in Les Miz," late-night television host Stephen Colbert joked during a government shutdown in 2019.

But last week, Newark achieved the unthinkable: It got worse.

Newark's week started badly with an air-traffic technology outage that disrupted flights. Runway construction

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Stock Investors Stay Bullish Despite Recession Forecasts

By JACK PITCHER AND SAM GOLDFARB

Wall Street's best forecasters have been warning that tariffs could spark a recession. Goldman Sachs puts the chances at 45% in the next 12 months. Apollo Global Management's top economist recently pegged it at 90%.

Someone forgot to tell stock traders. The market is roaring ahead, despite those gloomy predictions, as investors put their faith in solid economic data including Friday's jobs report, and bank on a swift de-escalation of President Trump's global trade war.

The S&P 500 just wrapped up a nine-day streak of gains—its longest since 2004—rising around 10% to erase the sharp losses that followed the president's unveiling

S&P 500's 'excess CAPE yield'



Sources: Prof. Robert Shiller, WSJ calculations

ing of the tariffs in April. It is now down just 3.3% for the year. Bond yields and the dollar have stabilized, suggesting investors aren't that worried

about what comes next.

"There's zero chance of an economic slowdown priced in," said Bob Elliott, chief executive

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INSIDE



SPORTS

The hard-throwing switch-pitching prospect who could transform baseball. **A14**



BUSINESS & FINANCE

Yuka and other food-scanning apps are influencing grocery shoppers. **B1**

Toxic Legacy Lurks Deep in Abandoned Gold Mine

Warming permafrost raises fears over tons of lethal arsenic buried in Canada

By VIPAL MONGA

YELLOWKNIFE, Northwest Territories—This small subarctic city has a big problem.

There are 237,000 metric tons of arsenic trioxide locked in the subterranean caverns of Giant Mine on the edge of Yellowknife, an unwanted byproduct from what was once one of the largest gold mines in Canada's Northwest Territories. Consider that it only takes 140 milligrams of arsenic trioxide to kill a person; there's enough of the poison here to kill 1.7 trillion people.

The local indigenous people refer to the arsenic as a sleeping monster.

Company and government officials hoped the arsenic would remain frozen underground forever. But mining operations and climate change caused the permafrost to melt, raising fears in the city of 20,000 people that toxic material could mix with the runoff and slither into the nearby waters of Great Slave Lake, the world's 10th-largest freshwater body.

From there, it could snake 1,000 miles along the Mackenzie River to the Beaufort Sea in the Arctic Ocean, poisoning the wildlife, the land and the water along its path. Giant Mine is a warning for governments and companies

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